losses continue, and that the resources will be dissipated and the intrinsic value ultimately become less than the price paid."[22] There seems to be some validity to this concern on an individual company level. In his study, Montier found that an individual stock selected by the net current asset value strategy was more likely to suffer a permanent loss of capital than the average stock. Montier found that about 5 percent of net current asset value stocks declined 90 percent or more in a single year, while only 2 percent of all stocks suffered a similar decline. Paradoxically, it seems that what is true at the individual company level is not true at an aggregate level. The net-net portfolios had fewer down years than the market. Net nets only suffered losses at the portfolio level in three years in the entire 23-year sample Montier tested. By contrast, the overall market witnessed some six years of negative returns.[23] So not only did the strategy outperform over the full period, it had fewer losing years, even though the average net net was two-and-a-half times more likely than the average stock to suffer a terminal decline. These are intriguing results, and demonstrate some of the counterintuitive phenomena—the hallmark of deep value investment—that we'll investigate in detail later.

ONE OF THE MYSTERIES OF OUR BUSINESS

When Graham appeared before the U.S. Senate Committee on Banking and Currency in 1955 to testify in its investigation into the "factors affecting the buying and selling of equity securities," he was asked by the Chairman how it was that undervalued stocks returned to fair value, a question central to value investment:[24]

> *When you find a special situation and you decide, just for illustration, that you can buy for 10 and it is worth 30, and you take a position, and then you cannot realize it until a lot of other people decide it is worth 30, how is that process brought about—by advertising, or what happens?*

Graham's response is vintage Graham, but it is unlikely to have satisfied the Chairman. "That is one of the mysteries of our business," he explained, "and it is a mystery to me as well as to everybody else. We know from experience that eventually the market catches up with value. It realizes it in one way or another."[25] The Chairman's question is perhaps the most important question for value investors. How does an undervalued stock find its fair value? In his widely sought-after out-of-print book *Margin of Safety*, legendary investor Seth Klarman wrote:[26]